

HDFC Asset Management Company Ltd.

Financial Performance, Business Drivers & Relative Valuation Analysis

FY2022–FY2026

Prepared by: Tushar Narendra Varkhede (MBA)

Excel-Based Finance Portfolio Project



1. Executive Summary

- Closing AUM increased from ₹4.08 lakh crore in FY22 to ₹8.44 lakh crore in FY26.
- Unique investors increased from ₹5.8 million to ₹16.7 million during the analysis period.
- Revenue from operations reached ₹4,118.53 crore and PAT reached ₹2,858.06 crore in FY26.
- Operating cash flow remained positive across all five years and reached ₹2,530.09 crore in FY26.
- The company remained debt-free across FY22–FY26.
- HDFC AMC trades at a premium to the selected peer median on both P/E and P/B.

Scope and approach

The report follows the supplied workbook structure: business drivers → financial performance → profitability → cash generation → peer comparison → relative valuation. FY2021 is not included as a separate project year. FY22 ROE and ROA are shown as N/A where opening-balance data is not included in the workbook.

2. Business Drivers

Metric	FY22	FY23	FY24	FY25	FY26
Closing AUM (₹ crore)	407,553	436,696	607,342	754,453	844,000
Equity-Oriented AUM (₹ crore)	209,000	246,000	397,000	504,000	557,500
Unique Investors (million)	5.8	6.6	9.6	13.2	16.7
Live Accounts (million)	9.9	11.4	16.6	23.3	30.2
Digital Transactions	76%	81%	90%	94%	N/A

The workbook reports on AUM and investor-based expansion as major operating drivers. FY26 SIP/systematic AUM is recorded as ₹2,00,000+ crore, while selected market-share fields are available only for certain years.

3. Financial Performance & Growth

Metric	FY22	FY23	FY24	FY25	FY26
Revenue from Operations (₹ crore)	2,115.36	2,166.81	2,584.37	3,498.03	4,118.53
PAT (₹ crore)	1,393.13	1,423.92	1,945.88	2,461.05	2,858.06
Operating Cash Flow (₹ crore)	1,253.73	1,149.32	1,620.01	2,076.70	2,530.09

The workbook calculates FY22–FY26 revenue CAGR at approximately 18.12% and PAT CAGR at approximately 19.68%. Growth was strongest in FY25 for revenue, while PAT growth moderated in FY26 compared with FY24 and FY25.

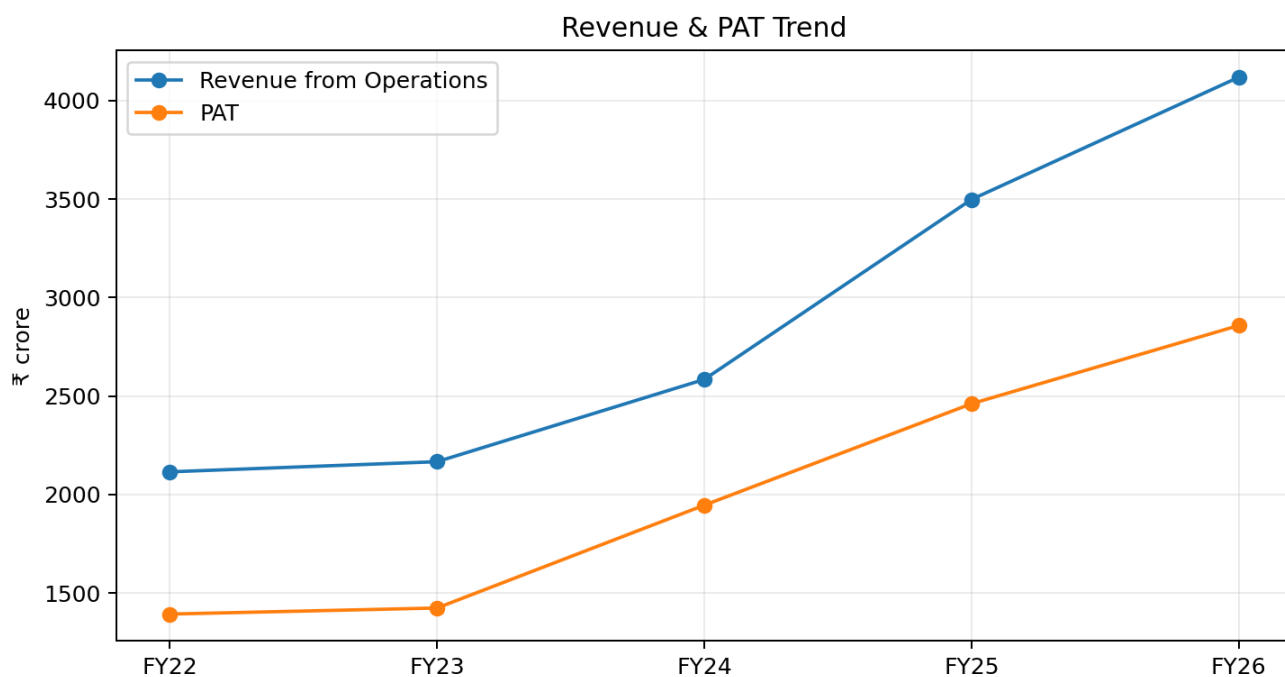


Figure 1. Revenue and PAT trend.

4. AUM & Investor Growth

Closing AUM increased to ₹8.44 lakh crore by FY26, while unique investors increased to ₹16.7 million. The workbook reports AUM CAGR of approximately 19.96% and a unique investor CAGR of approximately 30.26%.

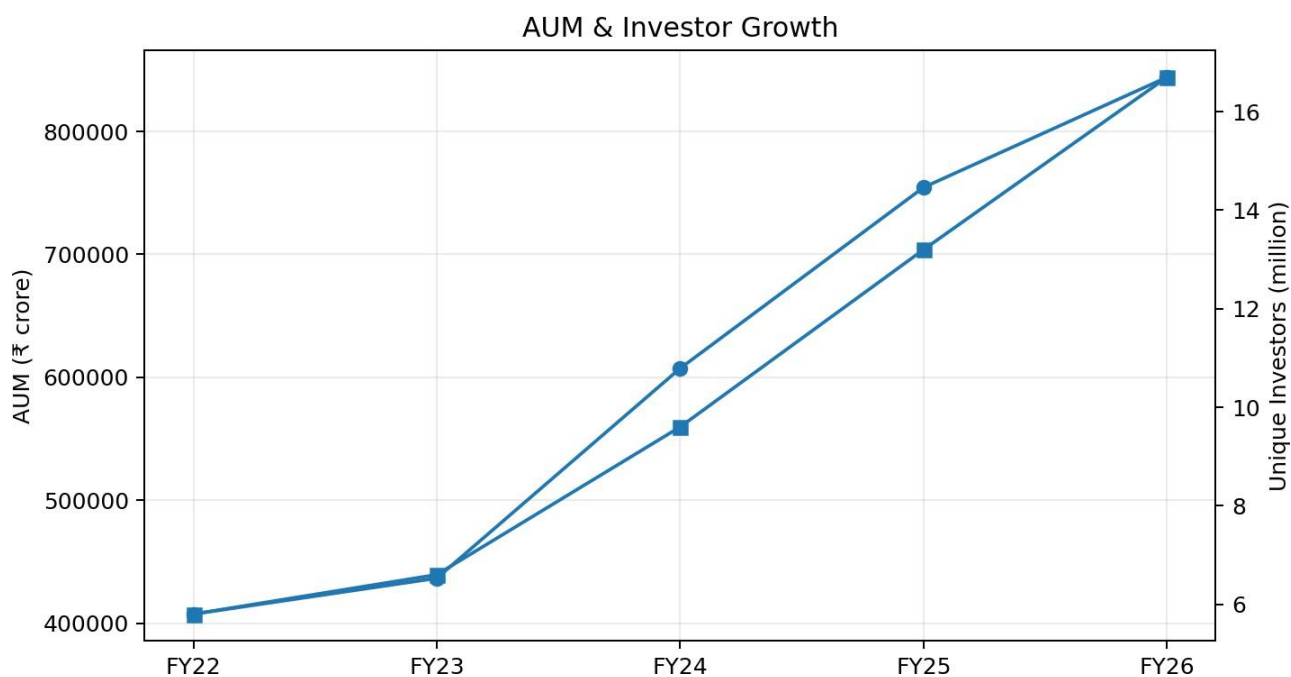


Figure 2. AUM and unique investor growth.

5. Profitability & Returns

Metric	FY22	FY23	FY24	FY25	FY26
Operating Profit Margin	72.68%	71.76%	73.52%	77.94%	77.98%
Net Profit Margin	65.86%	65.72%	75.29%	70.36%	69.40%
ROE	N/A	24.47%	29.51%	32.35%	32.92%
ROA	N/A	22.94%	27.61%	30.18%	30.50%

Net Profit Margin is calculated as PAT divided by Revenue from Operations, consistent with the updated workbook and the FY25 company-reported convention noted there. FY22 ROE and ROA are N/A because the workbook does not include the required FY21 opening balances.

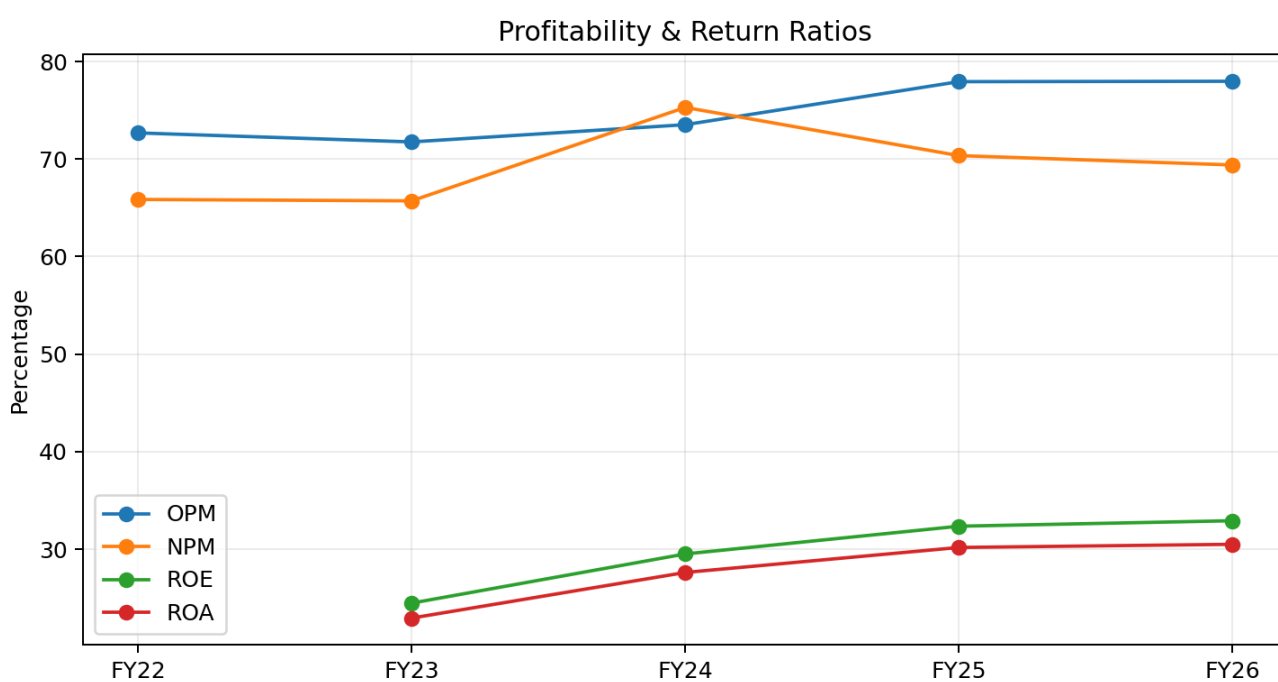


Figure 3. Profitability and return ratios.

6. Cash Flow & Financial Strength

Metric	FY22	FY23	FY24	FY25	FY26
Operating Cash Flow	₹1,253.73	₹1,149.32	₹1,620.01	₹2,076.70	₹2,530.09
Capital Expenditure	₹10.23	₹14.10	₹18.56	₹44.76	Not Verified
Free Cash Flow	₹1,243.50	₹1,135.22	₹1,601.45	₹2,031.94	N/A
Interest-Bearing Debt	0	0	0	0	0
Debt-Free Status	Yes	Yes	Yes	Yes	Yes

Operating cash flow remained positive throughout the period. FY26 capital expenditure is marked 'Not Verified' and FY26 free cash flow is shown as N/A; no estimate has been introduced into the report.

7. Peer Comparison

Metric	HDFC AMC	Nippon Life AMC	UTI AMC	Aditya Birla Sun Life AMC
Operating Revenue (₹ crore)	4,118.53	2,924.00	1,705.00	1,845.03
PAT (₹ crore)	2,858.06	1,529.00	472.00	975.07
ROE	32.92%	34.50%	10.30%	25.53%
NPM	69.40%	52.29%	27.68%	52.85%
P/E	35.03x	46.60x	27.00x	26.02x
P/B	11.19x	16.36x	2.70x	6.28x

Market capitalisation and valuation multiples are workbook snapshots dated 15 September 2026 and may change with market prices. Peer medians for P/E and P/B exclude HDFC AMC.

8. Relative Valuation

Valuation Metric	HDFC AMC	Peer Median	Premium / Discount
P/E	35.03x	27.00x	29.74% premium
P/B	11.19x	6.28x	78.18% premium
ROE	32.92%	25.53%	+7.39 pp
NPM	69.40%	52.29%	+17.10 pp
PAT CAGR	19.68%	9.72%	+9.96 pp

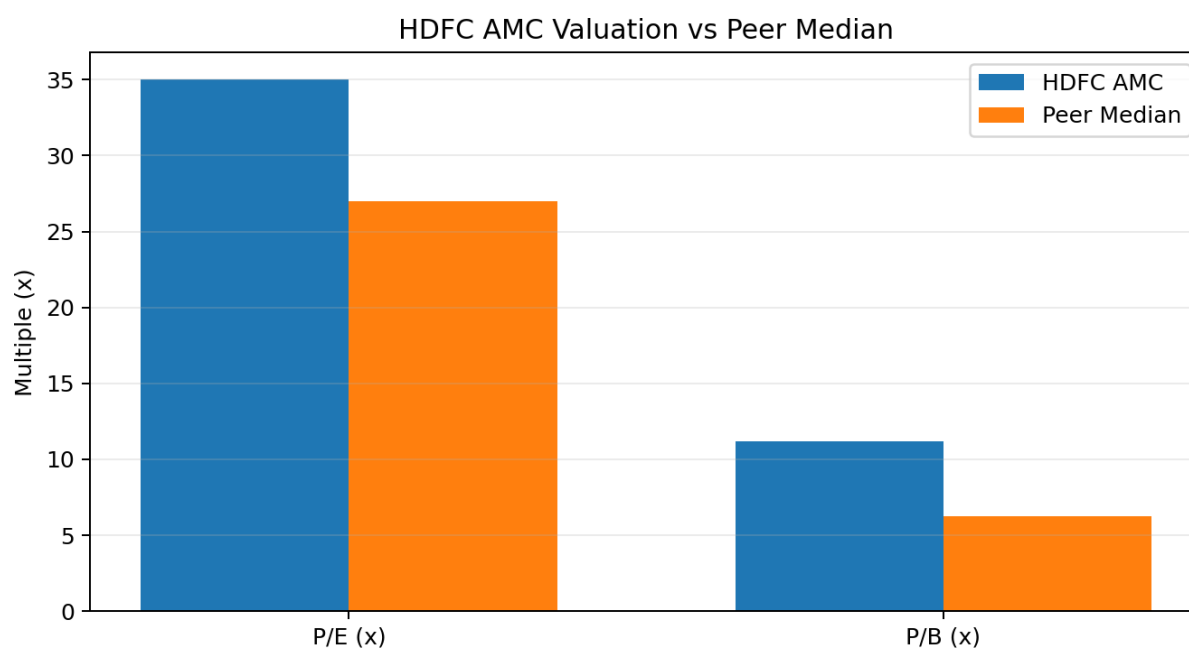


Figure 4. HDFC AMC valuation versus peer median for P/E and P/B.

The workbook shows HDFC AMC trading above the selected peer median on P/E and P/B. The premium should be considered alongside the reported profitability and growth measures, as well as the risks associated with valuation sensitivity.

9. Key Insights, Risks & Limitations

Area	Observation
Revenue and PAT	Both increased materially across FY22–FY26, with FY26 PAT at ₹2,858.06 crore.
Business Scale	AUM more than doubled, while the investor base expanded significantly.
Profitability	Operating margin and net margin remained high, with strong reported ROE from FY23 onward.
Cash Generation	Operating cash flow was positive in every year covered by the workbook.
Financial Strength	Interest-bearing debt remained zero in all five years.
Market Dependence	AUM and AMC revenue are influenced by equity-market performance and investor sentiment.
Valuation Risk	Higher valuation multiples can increase sensitivity to slower earnings or AUM growth.
Peer Comparability	AUM definitions and disclosure bases may differ across AMC peers.
Data Limitation	FY26 CapEx and FCF are not presented because CapEx is not verified in the workbook.

Conclusion

Based on the supplied workbook, HDFC AMC demonstrates substantial business-scale expansion, strong profitability, positive operating cash flow and a debt-free position during FY22–FY26. The relative valuation section shows a premium to the selected peer median on P/E and P/B; this premium remains a key factor to monitor alongside operating performance, growth sustainability and market conditions.

10. Methodology & Sources

- Analysis period: FY2022–FY2026. FY2021 is not included as a separate project year.
- Growth calculations: year-over-year growth and CAGR, using four annual intervals from FY22 to FY26.
- Operating Profit Margin: operating profit divided by Revenue from Operations, where operating profit is Total Income minus Other Income minus Total Expenses.
- Net Profit Margin: PAT divided by Revenue from Operations.
- ROE and ROA: average opening and closing equity/assets where the required balances are available.
- Valuation: P/E and P/B comparison with the selected peer median; peer median excludes HDFC AMC.
- Sources recorded in the workbook: HDFC AMC annual reports, investor disclosures, standalone results and peer annual-report/directors' report data.